

HOW WE RECOVER

The recovery waterfall: the right channel, in the right order, at the right moment.

Southwest Recovery Services' digital-first liquidation method — lead with digital, escalate to AI voice, reserve people for the accounts that need them.

Recovering a receivable is not about calling harder. It is about reaching the right person, on the channel they will actually respond to, before the balance decays — and doing it in an order that spends the cheapest effort first and the most expensive effort last. Southwest Recovery Services runs every workable account through a disciplined, propensity-tiered waterfall: a compliant digital touch first, conversational AI voice second, and a live collector on a predictive dialer only where a human genuinely adds value. The result is more dollars recovered, sooner, at a lower cost to collect — and a process that protects your brand at every step.

Executive summary

Two levers dominate recovery: **speed** and **channel order**. Collectability decays sharply with age — the Commercial Collection Agencies of America put the probability of collection at 68.9% at three months past due, 51.3% at six months, and just 21.4% at one year — so the first contact has to happen fast. And independent research is consistent that digital-first outreach outperforms dialer-first: McKinsey's collections survey found consumers act on digital channels far more than on the phone, yet most agencies still lead with the dialer. SWRS was built around the opposite sequence. Every account is scored and routed on placement, worked digital-first, escalated to AI voice, and handed to a human collector only when the situation warrants — all on one platform (Aktos), driven by Experian intelligence, and gated by compliance rules enforced before any outreach goes out. This paper explains the method.

1. Speed is the whole game

The single most important fact in receivables is that money owed is a depreciating asset. The longer a balance sits, the harder it is to recover — contact information goes stale, the debtor's circumstances change, other creditors get there first, and the account simply grows cold. The decline is not gradual; it falls off a cliff.

AGE OF THE DEBT	PROBABILITY OF COLLECTION
3 months past due	68.9%
6 months past due	51.3%
1 year past due	21.4%
2 years past due	8.9%

Source: Commercial Collection Agencies of America. Figures are directional and vary by portfolio, industry, and documentation quality.

The practical implication drives everything else in this paper: the highest-yield thing any recovery operation can do is make the first meaningful contact *fast*. That is why SWRS front-loads outreach — newly placed accounts are scrubbed, validated, and worked within days, not weeks — and why the first touch is the cheapest, highest-reach channel available rather than a slow, sequential dialer campaign. Every week of delay is yield you do not get back.

2. Channel order is the second lever

If speed decides how much is recoverable, channel order decides how much you actually capture — and the evidence is remarkably consistent that leading with the phone is a mistake. McKinsey’s survey of delinquent consumers measured the share who took a payment action after being contacted on each channel:

CONTACT CHANNEL	SHARE WHO TOOK A PAYMENT ACTION
Live phone call	48%
Letter	50%
Email	58%
Text message	77%
Mobile push notification	88%
Online-banking / app message	92%

Source: McKinsey & Company collections survey (North American issuers). Consumers reached on their preferred digital channel were markedly more likely to pay; the share paying in full roughly doubled.

Digital wins because it meets people where they already are, lets them resolve the balance on their own terms without a confrontational call, and reaches accounts a phone-only strategy never would. Yet across the industry, most agency-initiated contact is still made by phone, voicemail, and letter — a mismatch that leaves recovery on the table. SWRS treats the dialer not as the first touch but as the *escalation* channel, deployed after digital and AI voice have already triaged the portfolio.

3. The SWRS recovery waterfall

Every workable account flows through the same propensity-tiered sequence. Cheaper, higher-reach channels run first; expensive human time is reserved for the conversations that need it.

STAGE	CHANNEL	PURPOSE
Touch 1 — Day 0–2	Compliant email / SMS with a one-click payment link	Self-cure the easy payers immediately, at near-zero marginal cost, on the channels consumers respond to most.
Touch 2 — Day 2–7	Conversational AI voice & chat (Skit.ai)	Establish right-party contact at scale on digital non-responders, verify identity, answer questions, take payment or a promise-to-pay — reaching accounts email missed.
Touch 3 — Day 7+	Live collector on a predictive dialer (TCN)	Human negotiation reserved for engaged-but-unresolved accounts, disputes, and higher-balance files where judgment adds value.

The logic is simple: the digital touch self-cures the people who were always going to pay, the AI voice layer widens right-party contact across the population a phone-only approach would miss, and the human dialer concentrates scarce, expensive collector minutes on the residual accounts that genuinely need a negotiation. When AI voice reaches someone who disputes the debt or needs to work out terms, it hands off to a live collector in the same contact — identity, balance, and history already in hand. A predictive dialer pointed at accounts with valid contact data and engagement signals is a real productivity multiplier; pointed at cold, unscored accounts it mostly generates wrong-party contacts. Sequence is what makes it pay.

4. Propensity tiering — the right effort on the right account

Not every account deserves the same treatment, and treating them alike is how agencies waste money. Right-party-contact rates industry-wide average only about 26%, which means most untargeted dialing reaches the wrong person. SWRS scores every account on placement — using Experian’s intelligence layer and behavioral models — and allocates channels by likelihood to pay. The highest-propensity accounts are steered to low-cost digital self-cure; the large but uncertain middle is worked by AI voice; and live agents are reserved for the hardest, highest-value tail. Scores are refreshed continuously as engagement data accumulates, so an account that suddenly shows signs of ability to pay is re-prioritized immediately rather than waiting in a static queue. (The intelligence engine behind this scoring is detailed in our companion paper, *The Experian Intelligence Advantage*.)

5. Segment-specific treatment

The waterfall’s channel order stays constant, but the intensity and message flex by account type. **Small-balance, high-volume consumer accounts** — utility, tuition, medical, sanitation and the like — are almost fully automated: digital plus AI voice plus self-serve payment, with payment plans and modest settlements to lift conversion and little or no manual collector time. It is simply not economic to put a person on a small balance, and automation recovers those dollars efficiently and respectfully. **Large commercial and B2B accounts** get the opposite: a named account manager, documentation-driven negotiation, structured settlements, and — with counsel — a litigation or lien path where warranted. Commercial debt sits outside the FDCPA’s consumer rules, allowing more direct engagement, and because recovery odds on large accounts fall fastest, these escalate soonest. Messaging also flexes by state: we never reference a remedy that isn’t available in a jurisdiction — we lead with the leverage that applies (credit-reporting where permitted, voluntary resolution, and for larger balances the realistic path to judgment and enforcement) — and we work accounts in the consumer’s language, including Spanish.

6. Compliance built into the sequence

Every stage of the waterfall passes through one consumer-level compliance gate before a message is ever sent. Call frequency is tracked against Regulation F's "7-in-7" presumption at the consumer level across all of a person's accounts — counting unanswered calls and voicemails — so the dialer and AI voice never exceed the threshold. A single opt-out registry is honored in real time across email, SMS, and voice, and opting out of one channel never silences the consumer's ability to use another. Email goes only to consented or safe-harbor addresses, carries the required disclosures and a clear opt-out, and avoids known employer domains. AI and prerecorded voice are placed only to numbers with appropriate consent, with the artificial-voice disclosure at call open and dialer abandonment held under the regulatory limit. All outreach is time-zone-aware (8 a.m.–9 p.m. local) and defaults to the strictest applicable state standard given the growing patchwork of state mini-TCPA laws, and every consent, contact, and opt-out is captured in an immutable audit trail. Compliance here is not an after-the-fact audit; it is a precondition of the outreach itself.

7. What we measure

The waterfall is managed by the numbers, tracked by channel *and* by sequence path rather than in aggregate. The north-star metric is liquidation rate — dollars collected against balance placed — segmented by channel, state, and balance band. Alongside it we watch cost per dollar collected (digital is a fraction of the cost of a live call, which is the whole economic point of the sequence), right-party-contact rate, speed-to-first-contact on new placements, promise-to-pay and kept-rate, the share of accounts resolved without a human, and self-cure rate — plus the compliance metrics that keep it clean: opt-out honor latency, dispute and complaint rates, and dialer abandonment. Because everything runs on one platform, clients see it in real time, not in a monthly PDF.

8. Why the sequence outperforms the industry default

Despite the evidence, most of the industry still leads with the phone: in McKinsey's data roughly two-thirds of agency-initiated contacts were made through traditional channels — phone, voicemail, and letter — the channels consumers respond to least. That mismatch is expensive twice over. It spends the most costly resource, a live collector's time, on the very first touch, before anyone knows whether the number is even valid; and it under-uses the digital channels where consumers actually act. With right-party-contact rates averaging only about 26% industry-wide, untargeted dialing spends most of its effort reaching the wrong person.

The predictive dialer is not the problem — misusing it is. Deployed well, it is a genuine force multiplier: industry benchmarks put its lift at 20–50% higher contact rates and 200–300% greater agent efficiency versus manual dialing. But those gains only materialize when it is pointed at accounts already known to have valid contact data and a reason to answer — exactly what the waterfall guarantees. By the time an account reaches a live collector, digital and AI voice have already validated the contact, filtered out wrong parties and self-cures, and surfaced the engagement signals that make the call worth making.

The net effect is that the same placement file produces more recovered dollars at a lower blended cost to collect. The easy payers resolve themselves on the cheapest channel; the large, reachable middle is handled by AI voice at a fraction of a live agent's cost; and the human team — SWRS's most valuable and most expensive resource — is spent only where judgment, negotiation, and relationship actually move the outcome. It is not automation for its own sake; it is automation that puts a person exactly where a person makes the difference.

How Southwest Recovery Services puts it to work for you

The waterfall is the operating discipline that turns SWRS's technology stack into recovered dollars: Experian intelligence scores and prioritizes, the Aktos platform orchestrates the strategy, digital and AI voice do the volume, and experienced human collectors handle the accounts that need judgment — all gated by compliance and measured in real time. It is how a boutique, people-first agency delivers the speed of a far larger operation while still treating every debtor as a person and every client relationship as worth protecting.

This paper is one of three that describe how we work, and they are best read together: *The Recovery Waterfall* is the process; *The Experian Intelligence Advantage* is the data and scoring engine that decides which account gets which treatment; and *The Aktos Advantage* is the AI platform that runs the sequence and enforces compliance. Between them they make a single point — that the smartest, most compliant recovery and the most respectful one are not competing goals; done right, they are the same thing. That is the model SWRS has refined for two decades, and it is what we put to work the day you place your first file.

About Southwest Recovery Services

Southwest Recovery Services is a commercial, B2B-focused collection agency that has recovered business receivables on pure contingency since 2004, working unpaid invoices for finance teams across the country — from subscription and SaaS balances to trade, freight, contracting, healthcare and professional-services receivables. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach across all 50 states from 12 offices in 7 states. The model is simple: pure contingency, with no upfront fee, no retainer and no minimum — no recovery, no fee — backed by a documented, Reg F-compliant process, ACA International membership, and a clean compliance record since 2004.

See the waterfall run on your accounts.

Send a sample placement file and we will show you how SWRS scores, sequences, and recovers your receivables — digital-first, compliance-gated, on pure contingency with no upfront fee.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Figures are illustrative and vary by portfolio. Southwest Recovery Services recovers business (B2B) receivables nationwide.